

from their AI projects, products, or services, and also examine successful digital-native models from other industries.

So, what exactly is AI monetization? It refers to generating ongoing revenue from an AI product or service, which requires a more complex business model than traditional hardware or software products. Rather than selling a one-time product with support plans, the value of AI lies in its ability to continuously provide value to customers over time and scale with usage. In other words, it's not just about selling the technology itself, but rather the benefits and solutions it provides to customers over a continuous period.

AI Monetisation in an entrepreneurial context - How can YOU create a business selling AI services?

Companies seeking to monetize their AI products and services should consider three main types of monetization paths: data-driven (subscription fees), usage-based, and hybrid models. Each model has its own advantages and disadvantages, which vary depending on where the company is in its AI journey.

1. **Data-Driven Monetization** involves generating revenue by monetizing data, such as by selling access to proprietary datasets or third-party datasets through an API marketplace or premium dataset subscription service. While not all data can be monetized due to privacy and security concerns, anonymization and data abstraction models enable this option for many organizations.
2. **Usage-Based models** focus on how customers use a product, for example, by charging per minute of usage in cloud computing environments.
3. **Hybrid Models** are built on top of one or more other models, such as a combination of transaction volumes and subscriptions.

To sell your AI innovation successfully, you must meet three fundamental requirements. Firstly, determine if your technology is genuinely innovative and commercially viable; if not, focus on alternative applications instead of selling AI for the sake of it. Secondly, consider your target audience and whether it's B2B or B2C. A B2B company may expand into B2C channels, such as hardware leasing and pay-per-use billing, to offer AI services. It's crucial to break traditional boundaries and identify the right market. Thirdly, establish how much revenue you want to generate from your AI pilot projects to decide which monetization model suits your business. As previously mentioned, there are several ways to monetize an AI project, including license fees, consulting fees, monthly subscriptions (SaaS), or one-time payments (hardware). The optimal approach depends on your product's value proposition and how easily customers can adopt it.